financial help could eventually save the Alliance Bank of Simla from its ruin.[13] Payments by the Imperial Bank were, however, suspended for a while in June 1923 when S.R. Bomanji, a shareholder of the Imperial Bank, served a notice on the Governors of the bank, asking them not to make any further payments on the ground that such procedure would amount to a contravention of the Imperial Bank of India Act and would not be beneficial in any way to the shareholders of the bank.[14] Payments by the Imperial Bank to the creditors of the Alliance Bank of Simla resumed on July 17, 1923. A similar payment of 50 percent was also made by the London office of the Imperial Bank to all sterling creditors of the Alliance Bank of Simla in London from October 14, 1923.[15]

A demand had been raised in the course of the Legislative Assembly debates on the Alliance Bank of Simla for an amendment of the Imperial Bank of India Act which would, unlike in the case of the Alliance Bank of Simla, permit direct intervention by the Imperial Bank in times of financial crisis.[16] The bill for the amendment of the Imperial Bank Act, 1920, as passed by the Indian Legislature provided for such intervention by the bank, allowing it to advance or lend money to avert winding up of a company or society on the security of all or any of the assets of the company or society. The bill received the assent of the Viceroy on September 24, 1924.[17]

BANKER'S BANK AND SOLE BANKER TO THE GOVERNMENT

Section 10 of Act XLVII of 1920 provided for an agreement with the Secretary of State for India by which the bank could act as banker to the government and also undertake and transact any other business which the government would entrust to it.[18] The agreement of 1921 assigned a privileged status to the Imperial Bank by appointing it the sole banker to the government and entrusting to it the entire treasury balances. But this exclusive arrangement was only an extension of the agreement entered into by the government with the three Presidency Banks earlier.[19] The agreement of 1921 was a landmark as it not only restored the position of 1862 but also assured the Imperial Bank, (with the abolition of reserve treasuries), an unlimited use once again of the whole of the treasury balances placed with it.[20]